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(d) Decrease in one liability and increase in another liability

Accepted a bill drawn by creditors for ` 20,000

Effects: (i) Bills payable arises → Increase in liability

(ii) Reduction in creditors → Decrease in liability

Liabilities	=	Assets
+ Bills payable – Creditors	=	Assets
(+) ` 10,000 (–) ` 10,000	=	Assets

(e) Transactions affecting more than two accounts:

Goods costing ` 30,000 sold for ` 40,000

Effects: (i) Goods go out → Decrease in assets

(ii) Cash comes in → Increase in assets

(iii) Sold goods at a profit → Increase in capital

Liabilities + Capital	=	Assets
Capital	=	Cash – Stock
(+) ` 10,000	=	(+) ` 40,000 (–) ` 30,000

Illustration 1

Complete the missing items.

	Assets `	=	Liabilities `	+	Capital `
(a)	30,000		20,000		?
(b)	60,000		25,000		?
(c)	?		25,000		30,000
(d)	?		10,000		80,000
(e)	25,000		?		15,000
(f)	40,000		?		30,000

Solution

	Assets `	=	Liabilities `	+	Capital `
(a)	30,000		20,000		**10,000**
(b)	60,000		25,000		**35,000**
(c)	**55,000**		25,000		30,000
(d)	**90,000**		10,000		80,000
(e)	25,000		**10,000**		15,000
(f)	40,000		**10,000**		30,000